Public Policy 2026-2027

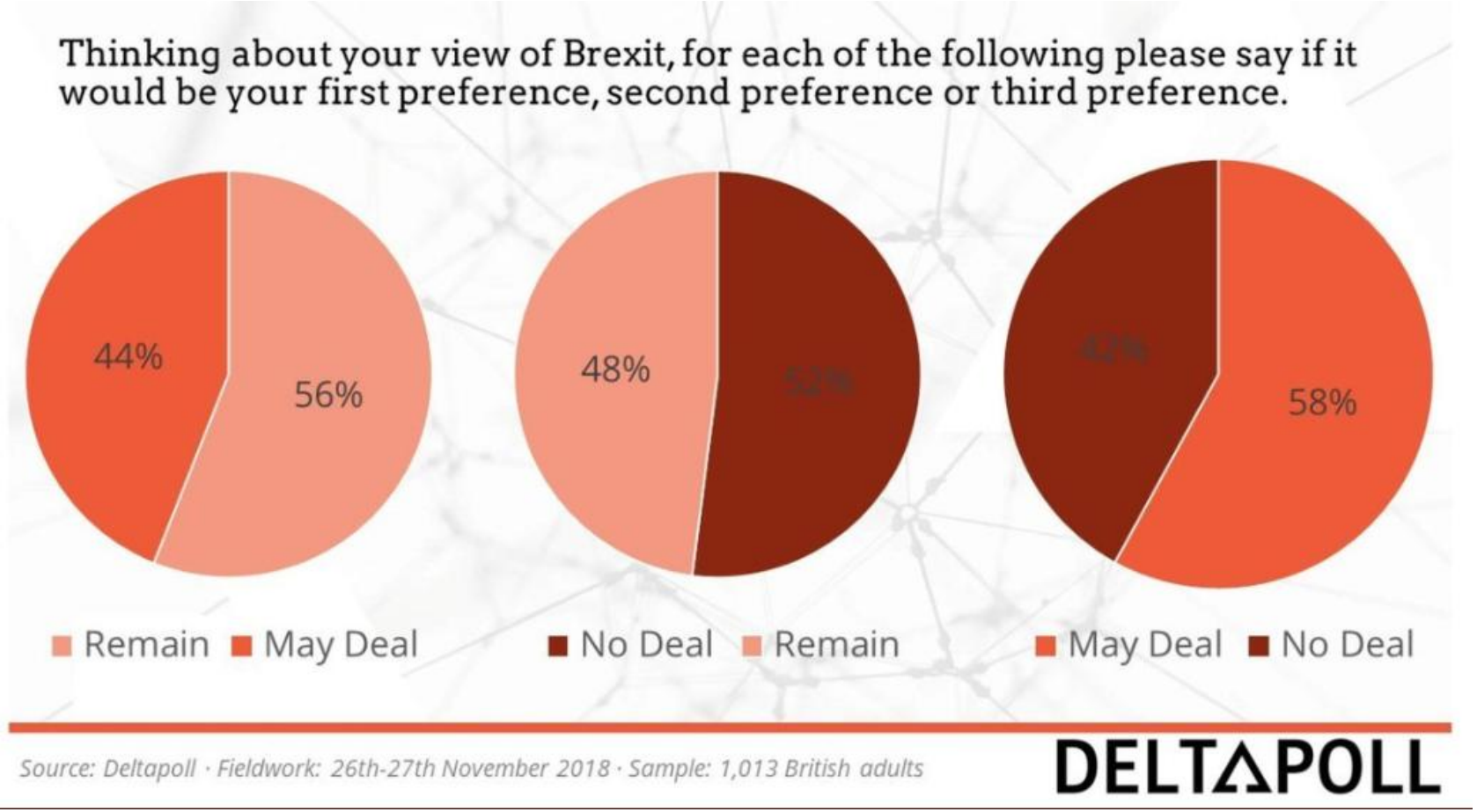
Lecture 9: Solutions to Market, Fairness & Government Failures

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Stockholm School of Economics in Riga

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Example: Brexit Polls In 2018-2019

Arrow's Theorem in the real world



1) R>D
2) N>R
3) D>N

Rent-Seeking

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The pursuit of economic benefits through influencing the policy process that would not be achievable through competitive markets.

"Particular industries and occupations obtain from the state a variety of economic privileges which are injurious to the vast majority of the population. Farm subsidies, oil import quotas, tariffs, and occupational licensing are examples."

— Stigler, George J. 1972. "Economic Competition and Political Competition." *Public Choice* 13(1): p. 100.

Concentrated Benefits and Diffuse Costs

Table 2.2 Wilson's typology.

Costs	*Benefits Concentrated*	*Diffuse*
Concentrated	Interest group politics ('zero-sum game')	Entrepreneurial politics
Diffuse	Clientelistic politics	Majoritarian politics

Sources: Based on Wilson (1989) and Knill and Tosun (2011).

Original statement: James Q. Wilson. 1973. *Political Organizations*. Basic Books.

Example: Price Floors

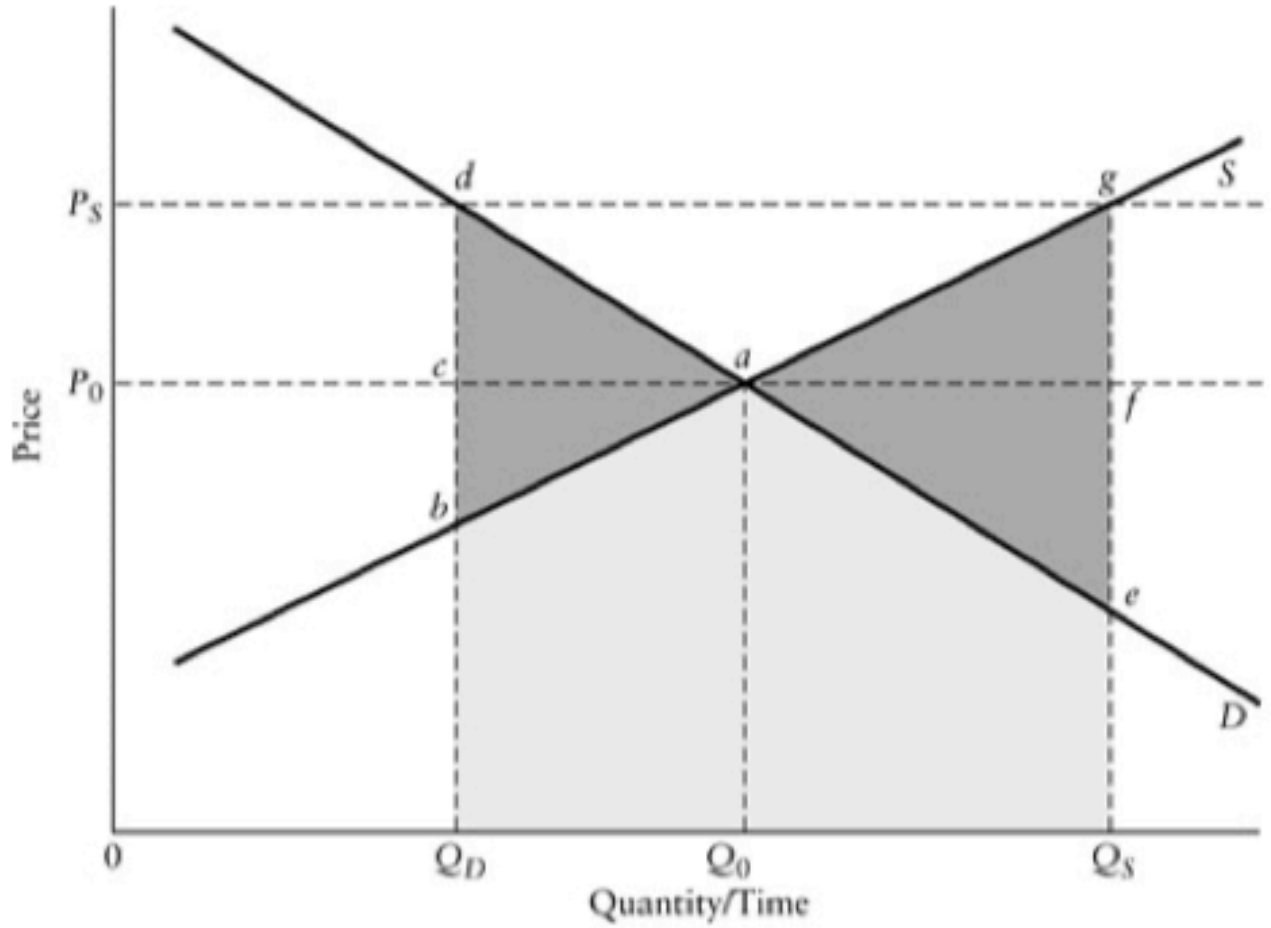
With a price floor at P_S, producers get a rent of P_SP_0cd.

Welfare impact?

1. -abd in the case of imposed production quota.
2. -aeg in the case of government purchase with distribution.
3. -$Q_D$dagQ_S in the case of government purchase with destruction.

"Transitional Gains Trap:"

Undoing price floors can have devastating consequences for current [land] owners.



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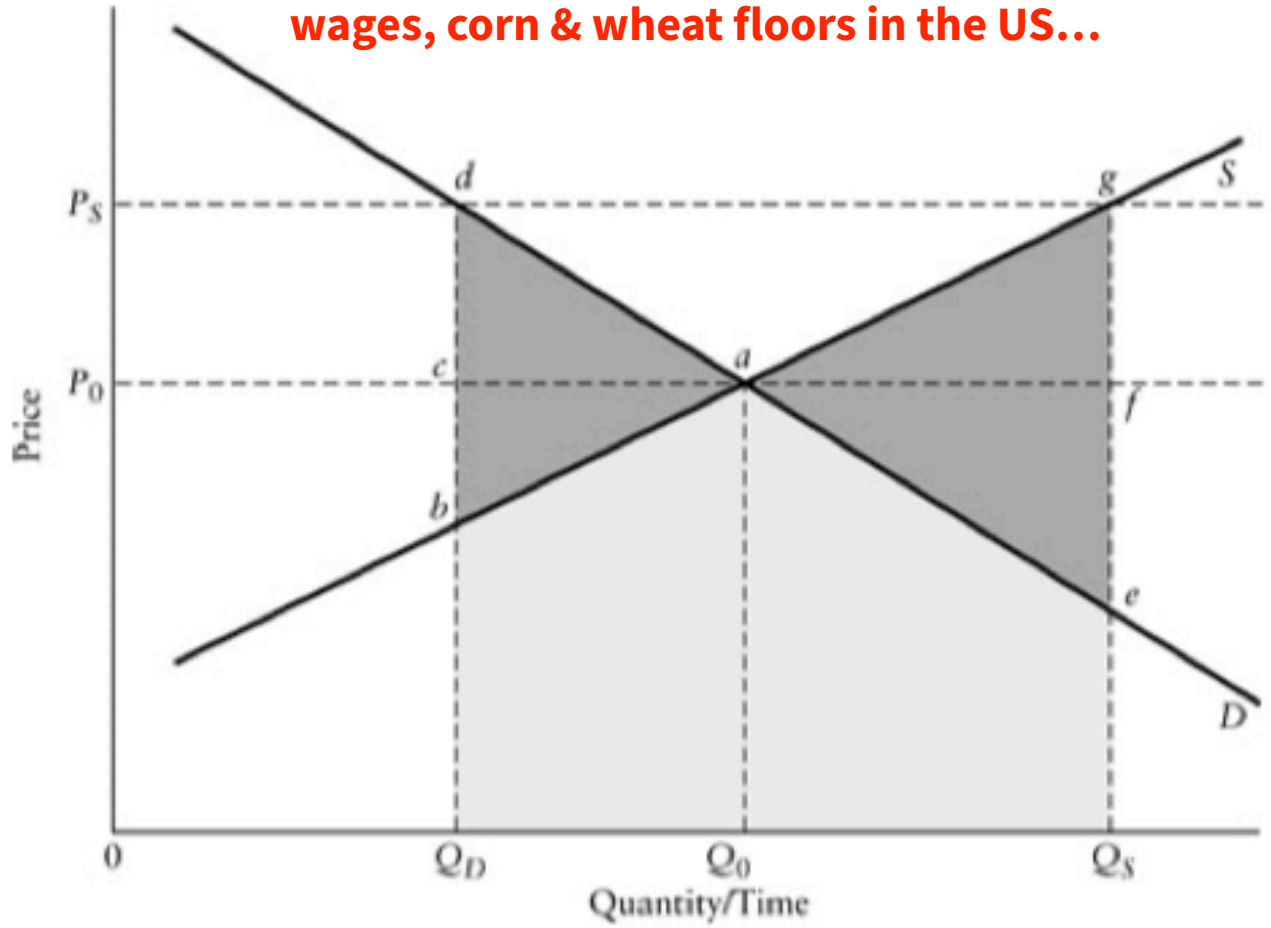
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"Transitional Gains Trap:"

Undoing price floors can have devastating consequences for current [land] owners.

See e.g. EU's "butter mountains," minimal wages, corn & wheat floors in the US…



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Example: Price Ceilings

Best case:

With a price ceiling at P_C, consumers get a rent of P_0P_Cbc.

Welfare impact? -bad

Worst case:

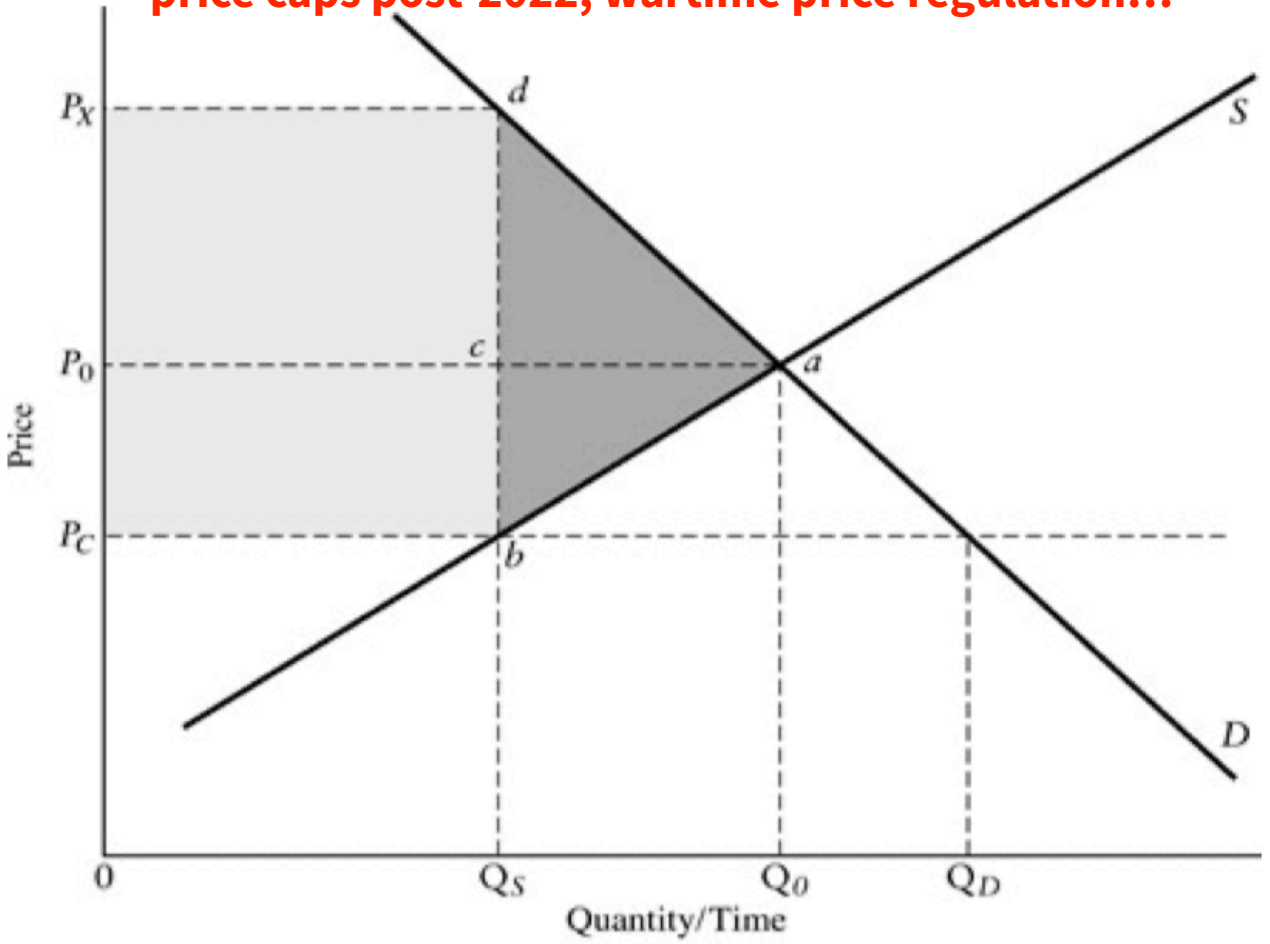
Consumers value Q_S at P_X. They will "pay" up to P_X-P_C in non-monetary costs for getting shares of the scarce good!

In some cases, consumers dissipate their total surplus P_XP_Cbd!

Welfare impact? -P_XP_Cbad

Fairness impact?

See e.g. rent control ("Mietpreisbremse" in D), energy price caps post-2022, wartime price regulation…



Other Government Failures

Important Causes of Government Failure

1. Preference aggregation problems: when social welfare functions fail to return a coherent social preference (reveal “the will of the people”).
2. Rent seeking: when private actors secure non-market rents through lobbying.
3. Problems of district-based representation: when policymakers mistake social benefits for benefits limited to their districts.
4. Policy myopia: when policymakers’ calculations of social benefits depend on electoral time horizons.
5. Bureaucratic failure: when there is misalignment between the interests of the government and of bureaucrats.
6. Fiscal externalities: when constituencies engage in a ruinous competition for low taxes.

Problems of District-Based Legislatures

The logic of “pork”

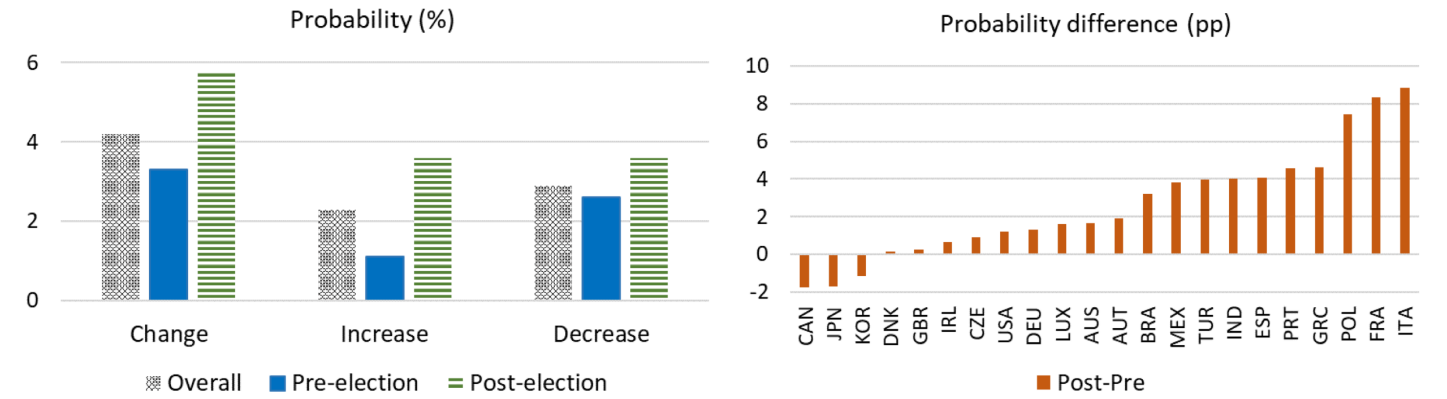
- Concentrated (localised) benefits, diffuse costs: projects with a negative national NPV still pay off locally, so legislators push for them.
- See from the district’s point of view, factor costs (jobs, infrastructure CAPEX, etc.) are counted as benefits, which favours deficit spending.
- Pork barrel politics sometimes firmly institutionalised (e.g. the *réserve parlementaire* in France, abolished in 2018)



Policy Myopia: Electoral Time Horizons

- Politicians are judged on a short clock, but many policies pay off over a long one: see e.g. climate mitigation, fundamental research, disease prevention…
- Gains arriving after the next election count for little to an incumbent, so long-run social benefits are discounted away, and the corresponding public goods undersupplied.
- In contrast, public goods that are "front-loading" benefits while "back-loading" costs are oversupplied: pre-election tax decreases, debt-funded infrastructure, pension increases.
- Result: a myopic policy mix that shifts costs onto future voters.

Figure 2. Probability of tax news shocks around elections

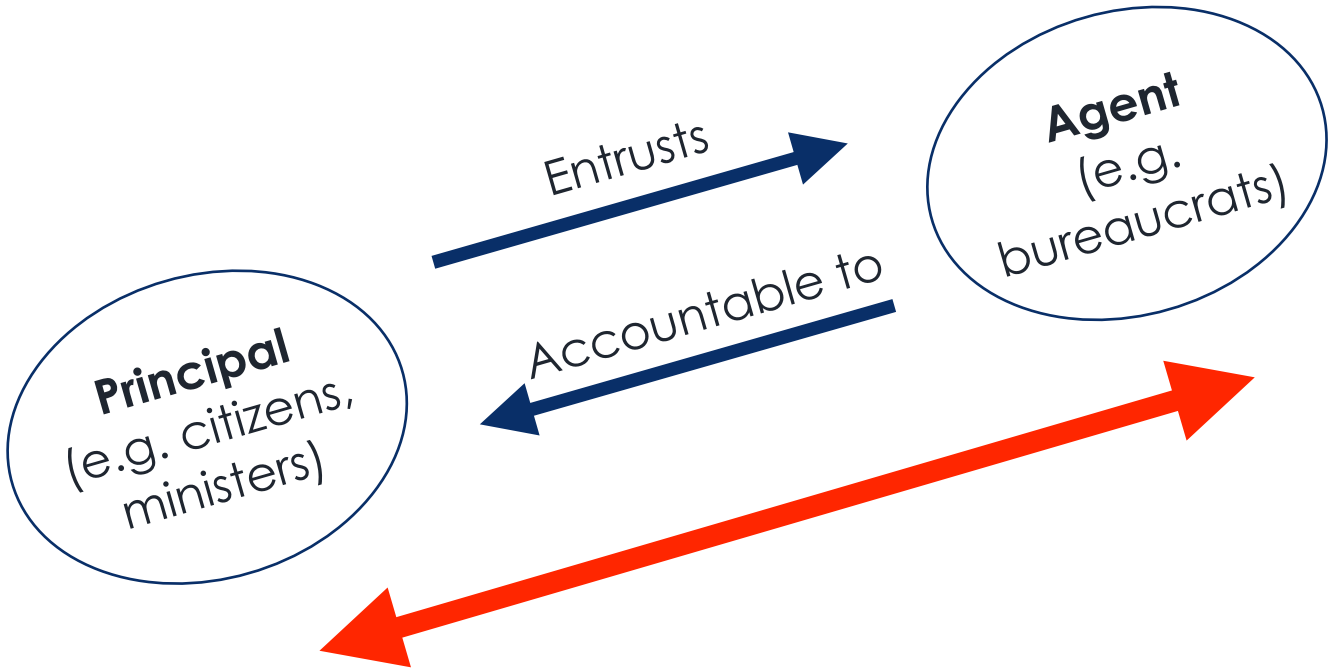


Notes: The left-hand side chart reports the average monthly probability of tax news shocks (in percent) in the overall sample, and during the 12-month periods before and after elections. The dotted gray bar illustrates the probability of tax news shocks in the overall sample. The blue (dashed green) bar represents the probability of tax news shocks during the pre-election (post-election) periods. The right-hand side chart reports the difference in the average monthly probability of tax news shocks (encompassing all changes) in the 12-month periods after and before elections for each country in the sample (in percentage points, pp). We note that the pre-election period includes 12 months running up to the elections and the election month as with the regression analysis below.

Antonio C. David and Can Sever. 2023. "Unpleasant Surprises? Elections and Tax News Shocks." IMF Working Papers WP/23/139.

Bureaucratic Failure: Agency Loss

Remember from Lecture 3: principal-agent problems between executives and bureaucrats



Information asymmetry = monopoly power

Principal-agent problems predict:

- Budget-maximisation
- Organisational slack
- Capture of informational advantage

These issues in turn lead to:

- Legitimacy deficits
- Allocative and X-inefficiency
- Loss of state capacity

How agency problems be fixed? 1980s answer: New Public Management

Bureaucratic Failure as Intra-Organisational Market Failure

Organisational public goods:

- Organisational pure public goods: reputation, shared data, training and trust benefit every unit, so each free-rides on the others.
- Organisational common pool resources: travel funds, car pools, etc… lack (or impossibility) of internal price signals to bring private MPC closer to MSC, so these resources tend to be overconsumed.
- Result: silos and allocative inefficiency; the agency performs below the sum of its parts (X-inefficiency).

Fiscal Externalities Within and Between Jurisdictions

Positive fiscal externalities:

- Immigrants with above-average tax contributions and below-average demand for public goods exert a positive externality onto established residents.
- Lower tax share fore everyone, same service level.

Negative fiscal externalities:

- Immigrants with below-average tax contributions and above-average demand for public goods exert a negative externality to established residents.
- Jurisdictions may respond with inefficient — and potentially unfair — restrictions (building codes, minimum lot sizes etc.), inflating building costs.
- When governments are decentralised, one jurisdiction's fiscal choices land partly on others.
- Tax competition may shift fiscal burdens onto non-residents, or undercut neighbours to poach expats and capital.

Solutions to Market, Fairness, and Government Failures

Classifying Policy Solutions

Following Weimer & Vining (2017), Chapter 10

Generic Policy Categories	Subcategories	Instruments
Harnessing the market mechanism	Freeing Markets	Deregulation; legalisation; privatisation
	Facilitating Markets	Definition of property rights; create new marketable goods
	Simulating Markets	Auctions
Changing incentives	Supply-side taxes & subsidies	Pigouvian taxes; tariffs / grants; tax deductions & credits
	Demand-side taxes & subsidies	Commodity taxes; user fees / in-kind subsidies; vouchers; tax deductions & credits
Rules (“command and control”)	Frameworks	Civil laws; criminal laws
	Regulations	Price & quantity regulation; information provision; choice architecture (“nudges”)
Insurance & Cushions	Insurance	Mandatory & subsidised insurance
	Cushions	Stockpiling; transitional assistance; grants

Harnessing the Market Mechanism

The Washington Consensus

- Late 1980s: Agreement of the World Bank, IMF, and US Treasury on ten policy recommendations.
- Historical background: economic policy failure in developing countries (especially Latin America, resulting in the debt crisis of the 1970s-1980s).
- Market-driven reforms and free trade rather than protectionism and import substitution.
- But: does not seem to work very well with respect to the “Asian Tigers.”
- Moreover: aggressive industrial policy — in other words: state intervention — often is the key to growth (see e.g. Singapore!)



“Freeing” Markets

Deregulation, legalisation, privatisation

Instrument	Rationale	Diagnosis	Examples	Watch out
Deregulation	Remove price, entry and quality controls so that competition, not the regulator, sets prices and decides who serves the market.	• Government failures! • Rent seeking and capture by incumbents. • Pareto inefficiency from price & entry rules. • Rules that outlived the market failure they fixed.	• EU air transport & telecom liberalisation (1990s). • Repeal of the U.S. Glass-Steagall Act (1999). • Taxi market liberalisation (“Uberisation”).	• May increase market concentration. • Transition costs: exits, bankruptcies, instability. • Some spectacular failures (e.g. 1993 Railways Act in the UK).

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Legalisation	Lift a prohibition so a banned activity moves from the black market into a market the state can see, regulate and tax.	• Prohibitions that are costly or impossible to enforce. • Black-market harms (violence, corruption, unsafe products). • Proportionality concerns.	• Sports betting & gambling (e.g. D, F). • Assisted suicide (since 2000s, F in 2026) • Cannabis (e.g. Canada, Uruguay, Portugal)	• Lower price and stigma raise consumption. • Externalities may shift to health and social budgets.

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Privatisation	Shift production from government to private firms, through de-nationalisation and de-monopolisation.	• Public production causes market failures. • Soft budgets and political interference. • Fiscal pressure: raise revenue, end subsidies	• UK utilities (1980s). • Deutsche Telekom (1996) • HRADF (TAIPED) in Greece (2011-2025). • Voucher privatisations in post-soviet economies.	• Public monopoly may become private monopoly. • Very mixed evidence from transition economies. • Presupposes stable (econ & pol) institutions!

“Facilitating” Markets

Creating property rights & new marketable goods

Instrument	Rationale	Diagnosis	Examples	Watch out
Allocating property rights	Give clear, enforceable and transferable rights over an existing resource, so owners bear the costs and reap the gains of how it is used. Coase: with clear rights and low transaction costs, bargaining can do the rest!	• Overuse of the commons. • Unclear rights deter investment and… • …cement externalities.	• Water rights (see the data centres debate) • Land titling programmes • Land-restitution in post-soviet countries	• Usually very contentious • Initial allocation is a fight over windfall gains • Many parties or high transaction costs block bargains • Rights are only as good as their enforcement

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Creation of new marketable goods	Create a tradable good where none existed, usually a right to emit, catch or use a scarce resource. The state fixes the quantity. Trading finds who can cut usage most cheaply.	• Uniform rules ignore differing abatement costs • Uncertainty about trading off (say) environmental and efficiency goals	• Tradable permits (CO_2, fisheries, pollution) • Creation of wholesale electricity markets (EU: 1996) • Airport slots	• A loose cap makes the permit price collapse • Institutional barriers • Thin markets, concentration risks • Monitoring costs

“Simulating” Markets

Instrument	Rationale	Diagnosis	Examples	Watch out
Auctions	Where competition **in** the market is impossible, create competition **for** the market: the state runs an auction that reveals who values a right, or can supply a service, at the lowest cost.	• Natural monopoly: one supplier is cheapest • Allocating a private monopoly to the highest bidder is inefficient & unfair • Government cannot observe true costs or values	• Franchise bidding • Spectrum auctions • Competitive tendering for service contracts	• Few bidders invite collusion and bid rigging • ‘Winner’s curse:’ overbids, then renegotiates or lowers quality • To prevent this, a lot of regulation might be needed! • Incumbent advantage at re-bidding time

Thank You